

UiPath, Inc.

PATH | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$13.50
Current price (October 2, 2026 close)	\$13.12
Implied upside / downside	+3%
Verdict	HOLD

Investment Thesis

The existential question that has hung over UiPath -- do large language models make robotic process automation obsolete? -- has been answered, at least for now: agents need a body. AI agents can reason and plan, but someone still has to click the buttons inside legacy enterprise systems, and UiPath's robots -- now paired with Maestro, its orchestration layer for governing fleets of agents from any vendor -- are the most deployed such body in the enterprise. Founder Daniel Dines returning as CEO in mid-2024 and the December 2025 inclusion in the S&P; MidCap 400 mark the company's rehabilitation from its post-IPO wilderness.

Our judgment: the agentic pivot is credible and the numbers are stabilizing, but stabilization is not reacceleration. The third quarter of fiscal 2026 (ended October 2025) delivered the company's first GAAP-profitable third quarter -- \$13 million of GAAP operating income on \$411 million of revenue, up 16% year over year -- with 85% non-GAAP gross margins and more than \$1.7 billion of cash against no meaningful debt. That is a healthy software business. It is not yet a reaccelerating one, and 16% growth after the brutal deceleration of 2023-2024 deserves measured -- not enthusiastic -- interpretation.

The competitive field is the most dangerous in enterprise software: Microsoft, OpenAI, and every hyperscaler are building agent orchestration natively into the platforms UiPath automates. UiPath's counter-thesis -- that enterprises need a vendor-neutral governance layer with human-in-the-loop controls, audit trails, and cross-platform reach -- is reasonable and early customer evidence (production agentic deployments at banks, insurers, and airlines) supports it. But reasonable is not proven. At \$13.12 the market prices a successful-but-not-dominant agentic transition, which is roughly fair. We wait for proof. HOLD.

Business Overview

UiPath, founded in 2005 in Bucharest, Romania by Daniel Dines and Marius Tirca and now headquartered in New York, is the market leader in robotic process automation. Its platform spans Studio (development), Orchestrator (management), and attended and unattended robots that execute workflows across enterprise applications. The 2021 IPO was one of the largest US software listings ever, valuing the company above \$35 billion; the subsequent years brought slowing growth, a cloud transition, and the 2024 leadership change that returned Dines to the CEO role.

The current platform strategy is agentic automation: Maestro orchestrates AI agents built by UiPath, Microsoft, OpenAI, or customers themselves; Autopilot offers natural-language workflow creation; and new AI models let robots interpret user interfaces without underlying API access. The commercial thesis is 'agents decide, robots execute, humans handle exceptions' -- with governance built in from the start, which is what regulated enterprises require before they scale agents.

Forward Outlook

We see the next two years as a show-me period with a binary flavor. If Maestro becomes the enterprise standard for governing heterogeneous agent fleets -- the Switzerland of agentic AI -- UiPath has a genuine second act with pricing power and net-revenue-retention expansion. Early signs are directionally positive: the 2026 customer awards highlighted production-scale agentic deployments with measured (not projected) returns, and Maestro appeared across nearly every winning submission.

The alternative is absorption: agentic workflows get built natively into Microsoft 365, Salesforce, and ServiceNow, and UiPath is left automating the shrinking residue of legacy processes. Our base case sits between these poles -- mid-teens revenue growth reaccelerating toward 20% as agentic products scale, with the fortress balance sheet funding R&D; and opportunistic M&A; -- but we weight the absorption scenario materially because platform history favors the platforms.

Capital allocation is straightforward and shareholder-friendly: no meaningful debt, a large cash balance, and buybacks offsetting dilution. The debate is entirely about the top line's second derivative, and on that the honest answer is that the data are promising but early.

One underappreciated asset is the installed base itself: tens of thousands of enterprise customers with UiPath robots already embedded in their processes are the natural distribution channel for Maestro. Selling orchestration to a customer that already trusts your robots is a fundamentally easier motion than selling it cold -- and it is why we give the agentic pivot better odds than a standing start would deserve. The installed base does not guarantee the transition, but it meaningfully shortens the sales cycle for it.

Valuation

We value UiPath on a probability-weighted scenario DCF at the standard 10% base discount rate -- this is a real software business with 85% gross margins and a cash-rich balance sheet, but not a compounder-quality franchise on verified history, so no extended-horizon treatment applies. The base case assumes revenue growth reaccelerates from the mid-teens toward 20% as agentic products scale, with operating margins expanding on the high gross-margin base. The bear case assumes platform absorption: growth decelerates back toward 10%, pricing power erodes, and the multiple contracts -- a genuinely adverse outcome sitting well below the current \$13.12 price. The bull case assumes Maestro becomes the enterprise-standard agent governance layer with 25%+ sustained growth. Terminal growth is capped at 2.5% on normalized margins, and the 25% / 50% / 25% weighted fair value equals our \$13.50 target -- essentially the current price, which is why this is a HOLD and not a BUY.

Key Risks

- Platform absorption: Microsoft, OpenAI, and hyperscalers building native agent orchestration could marginalize a third-party layer.
- Growth reacceleration is unproven: 16% is stabilization, and the agentic revenue contribution is still early.
- Enterprise budget cyclicality: automation spending is deferrable in a downturn.
- Seat-based pricing pressure as automation shifts toward consumption-based agent models.
- Execution risk on the product transition from deterministic RPA to agentic orchestration.
- Founder dependence: Dines owns roughly 20% and the turnaround is closely tied to his leadership.

What Would Change Our Mind

- Two consecutive quarters of accelerating revenue growth with agentic products called out as the driver -- the single most important proof point.
- Evidence of Maestro standardization: large enterprises deploying it as the cross-vendor agent governance layer.
- Net revenue retention inflecting upward on agentic expansion.
- Conversely, growth decelerating back toward 10%, or a major platform competitor launching a directly comparable orchestration layer with rapid adoption, would move us toward REDUCE.
- A large dilutive acquisition would also force a reassessment.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.